

13-1 What Are Costs?

We begin our discussion of costs at Chloe's Cookie Factory. Chloe, the owner of the firm, buys flour, sugar, chocolate chips, and other cookie ingredients. She also buys the mixers and ovens and hires workers to run this equipment. She then sells the cookies to consumers. By examining some of the issues that Chloe faces in her business, we can learn some lessons about costs that apply to all firms.